# Anthropic IPO Valuation

## A basic model: cash flows, growth and the discount rate

| Revenue-multiple enterprise value | DCF enterprise value |
| --- | --- |
| **$1.95 trillion** | **$788.5 billion** |
| $195bn of 2028 revenue × 10.0x | Ten-year forecast; 12% WACC; 3% terminal growth |

- Latest investor discussion is about $1.5tn; the earlier $2tn is a historical stress case.
- The assumed multiple gives a value 30.0% above that discussion; the DCF is 47.4% below it.
- December net cash remains **assumed zero**; June financing sensitivities are separate.

Information cutoff: 26 Oct 2026. Assumed valuation date: 31 Dec 2026. All values in USD. [S2, S25]

# Cash-flow period: 2027–2036, then a terminal value

## Explicit forecast: ten annual periods

- Forecast **unlevered free cash flow** for 2027–2036.
- Allow revenue growth and EBIT margins to converge toward maturity.
- Start the perpetual-growth phase in **2037**.

A five-year forecast would end while assumed growth is still 20%, creating a sharp maturity transition.

| DCF component | PV ($bn) |
|---|---|
| 2027–2036 cash flows | 337.2 |
| Terminal value | 451.4 |
| **Enterprise value** | **788.5** |

**57.2%** of DCF value comes from cash flows after 2036.

The model discounts at year-end: 2027 is $t = 1$ and 2036 is $t = 10$.

2026 is a revenue anchor, not a discounted cash-flow period: the assumed valuation date is 31 Dec 2026.

# Annual growth: rapid expansion, followed by a gradual fade

| Year | Revenue ($bn) | Growth |
|---|---|---|
| 2026E | 64.0 | Anchor |
| 2027E | 128.0 | 100.0% |
| 2028E | **195.0** | **52.3%** |
| 2029E | 263.3 | 35.0% |
| 2030E | 329.1 | 25.0% |
| 2031E | 394.9 | 20.0% |
| 2032E | 454.1 | 15.0% |
| 2033E | 499.5 | 10.0% |
| 2034E | 534.5 | 7.0% |
| 2035E | 561.2 | 5.0% |
| 2036E | 578.0 | 3.0% |

## How growth is calculated

$$R_t = R_{t-1}(1 + g_t)$$

$$g_{2028} = \frac{195}{128} - 1 = 52.3\%$$

**2028 anchor:** midpoint of the reported $190–200bn company projection. [S2]

**Other years:** analyst assumptions. The $64bn 2026 estimate is not reported annual revenue.

**Run rate $\neq$ annual revenue.** A recent revenue pace cannot be substituted for full-year recognized sales.

# Cash flow: convert revenue into cash available to capital providers

## Unlevered free cash flow (UFCF)

$$\mathrm{UFCF}_t = \mathrm{EBIT}_t(1 - T) + \mathrm{D\&A}_t - \mathrm{Capex}_t - \Delta\mathrm{NWC}_t$$

| Driver | Assumption |
|---|---|
| EBIT margin | 10% → 35% |
| Tax on positive EBIT | 25% |
| D&A / revenue | 3% |
| Cash capex / revenue | 8% |
| Operating NWC / revenue | 2% |

Operating compute and distribution costs enter assumed EBIT margins; contract timing is not fully modeled.

| $bn | 2027 | 2028 | 2036 |
|---|---|---|---|
| Revenue | 128.0 | 195.0 | 578.0 |
| After-tax EBIT | 9.6 | 29.3 | 151.7 |
| D&A | 3.8 | 5.9 | 17.3 |
| Capex | (10.2) | (15.6) | (46.2) |
| ΔNWC | (1.3) | (1.3) | (0.3) |
| **UFCF** | **1.9** | **18.2** | **122.5** |

Example: 2028 UFCF
$= 29.25 + 5.85 - 15.60 - 1.34 = 18.16.$

Rounded displayed figures. No tax-loss carryforwards or separate funding schedule. Long-term compute commitments are not deducted again as one-year capex.

# Discount rate: 12% WACC, with a 10–14% sensitivity

## Discounting and terminal value

$$\mathrm{EV} = \sum_{t=1}^{10} \frac{\mathrm{UFCF}_t}{(1+r)^t} + \frac{\mathrm{TV}_{2036}}{(1+r)^{10}}$$

$$\mathrm{TV}_{2036} = \frac{\mathrm{UFCF}_{2037}}{r-g}$$

$r = 12\%$**:** illustrative WACC for technology, execution and cash-flow risk. It is not an observed or CAPM-estimated company rate.

$g = 3\%$**:** mature perpetual revenue growth. Terminal EBIT margin and investment ratios stay at 2036 levels.

**DCF enterprise value ($bn)**

| WACC / $g$ | 2% | 3% | 4% |
|---|---|---|---|
| 10% | 982.1 | 1,074.3 | 1,197.3 |
| 12% | 739.8 | **788.5** | 849.4 |
| 14% | 581.9 | 610.2 | 644.1 |

Lower discount rates increase the value of distant cash flows.

At zero assumed net cash, even 10% WACC / 4% growth remains below the $1.5tn equity discussion.

Sensitivity keeps the explicit operating forecast fixed. Terminal revenue, UFCF, investment and discounting recalculate for each rate pair. Require $r > g$.

# What would a $1.5 trillion discussion value require?

## Revenue-multiple interpretation

$$\mathrm{EV} = \$195\,\mathrm{bn} \times 10 = \$1{,}950\,\mathrm{bn}$$

$$\frac{\$1{,}500\,\mathrm{bn}}{\$195\,\mathrm{bn}} = 7.69\mathrm{x}$$

At the $195bn forecast, 8x gives $1.56tn and 12x gives $2.34tn.

The 10x base multiple is an assumption. It is not a current peer-derived median.

## DCF interpretation

Holding the ten-year forecast, WACC and investment ratios fixed:

- Required 2037 UFCF: **$325.0bn**.
- Required perpetual EBIT margin: **79.5%**.

That margin is substantially above the assumed 35% terminal margin.

Supporting $1.5tn therefore requires a different growth path, earlier cash generation, lower WACC or other material assumption changes.

Zero December net cash is assumed. June balances are disclosed; conversion and financing sensitivities follow.

# Conclusion and sources

## Answers to the three model questions

- **Cash-flow period:** 2027–2036; terminal value from 2037.
- **Annual growth:** 100%, 52.3%, then a fade to 3% by 2036.
- **Discount rate:** 12% WACC; examine 10–14%.

**Assessment:** $1.95tn is consistent with the selected revenue multiple. The $788.5bn DCF shows that cash economics need much stronger assumptions to support the reported discussion value.

**Public sources**

S1 Anthropic, 28 May 2026: $965bn post-money Series H valuation.

S2 Reuters, Aug 2026: reported $190–200bn 2028 revenue projection.

S3 Reuters, 29 Sep 2026: approximately $2tn target and cloud-partner dependence.

S25 Anthropic public S-1, 26 Oct 2026: audited annuals, unaudited interim statements and conversion terms.

**Limits:** projections may change. June balances are historical; December net cash and final offer terms remain uncertain. Future funding and dilution are not fully modeled.

Source: accompanying editable Excel model. Forecasts are analyst assumptions.

# Public S-1: operating loss, net loss and cash flow

| US$bn | FY2025 | H1 2025 | H1 2026 |
|---|---|---|---|
| Revenue | 4.585 | 1.163 | 16.286 |
| Operating income (loss) | (8.060) | (2.135) | (0.693) |
| Net income (loss) | (41.965) | (12.969) | (80.748) |
| Financing fair-value loss | 34.308 | 10.942 | 72.388 |
| Operating cash flow | (2.637) | (1.513) | 3.929 |
| Cash capex | 0.131 | 0.018 | 0.482 |

- Q1/Q2 revenue is US$4.731bn / US$11.555bn. Q3 US$16.8bn remains Reuters-reported.
- The US$64bn annual assumption requires US$30.914bn in Q4, or 84.0% sequential growth.
- H1 cash flow less cash capex is US$3.447bn; it is not the forecast's unlevered FCF.

S-1 MD&A p160; financial statements F-7/F-12. FY2025 audited; interim periods unaudited. Non-cash remeasurement and payment timing affect the cash-flow comparison.

# June cash bridge: a historical sensitivity

Liquid resources US$131.651bn exclude restricted cash. Subtract US$0.443bn finance leases, then any retained Amazon note principal.

| US$bn unless stated | Notes retained | Full conversion |
|---|---|---|
| Amazon principal deducted | 6.203 | 0.000 |
| Net cash proxy | 125.005 | 131.208 |
| DCF equity proxy | 913.544 | 919.747 |
| Required terminal EBIT margin | 71.7% | 71.3% |

- Note carrying value is US$108.566bn; it is not the US$6.203bn contractual cash principal.
- Conversion is subject to Amazon's 12% ownership cap unless waived; residual notes may remain.
- No H2 cash roll-forward or IPO proceeds. These are not December cash forecasts or values allocated to existing common shares.

S-1 MD&A p164; balance sheet F-5; lease note F-35. Unchanged DCF EV US$788.5bn; margin calculation uses the US$1.5tn discussion benchmark.

# Commitments and offering terms still constrain valuation

- June minimum purchase commitments: US$265.6bn. Leases not yet commenced: US$321.4bn. Separate multiyear categories, with stated conditions.
- The earlier Reuters US$518bn observation differs in date and scope. It is not a comparable growth series.
- Do not deduct all commitments as current debt or one-year capex. Operating rent stays within forecast margins.
- Offer price, proceeds, residual notes and final diluted shares remain blank. No per-share IPO price is estimated.

Public S-1, 26 Oct 2026, F-35/F-58. Financials use a PDF conversion; conversion fidelity remains a source limitation.